BLADES PLC CASE STUDY

Assessment of purchasing power parity

Blades, the UK-based roller blades manufacturer, is currently both exporting to and importing from Thailand. The company has chosen Thailand as an export target for its primary product, 'Speedos', because of Thailand's growth prospects and the lack of competition from both Thai and UK roller blade manufacturers in Thailand. Under an existing arrangement, Blades sells 180 000 pairs of Speedos annually to Entertainment Products, Inc., a Thai retailer. The arrangement involves a fixed, baht-denominated price and will last for three years. Blades generates approximately 10% of its revenue in Thailand.

Blades has also decided to import certain rubber and plastic components needed to manufacture Speedos because of cost and quality considerations. Specifically, the weak economic conditions in Thailand resulting from recent events have allowed Blades to import components from the country at a relatively low cost. However, Blades did not enter into a long-term arrangement to import these components and pays market prices (in baht) prevailing in Thailand at the time of purchase. Currently, Blades incurs about 4% of its cost of goods sold in Thailand.

Although Blades has no immediate plans for expansion in Thailand, it may establish a subsidiary there in the future. Moreover, even if Blades does not establish a subsidiary in Thailand, it will continue exporting to and importing from the country for several years. Due to these considerations, Blades' management is very concerned about recent events in Thailand and neighbouring countries, as they may affect both Blades' current performance and its future plans.

Ben Holt, Blades' finance director, is particularly concerned about the level of inflation in Thailand. Blades' export arrangement with Entertainment Products, while allowing for a minimum level of revenue to be generated in Thailand in a given year, prevents Blades from adjusting prices according to the level of inflation in Thailand. In retrospect, Holt is wondering whether Blades should have entered into the export arrangement at all. Because Thailand's economy was growing very fast when Blades agreed to the arrangement, strong consumer spending there resulted in a high level of inflation and high interest rates. Naturally, Blades would have preferred an agreement whereby the price per pair of Speedos would be adjusted for the Thai level of inflation. However, to take advantage of the growth opportunities in Thailand, Blades accepted the arrangement when Entertainment Products insisted on a fixed price level. Currently, however, the baht is freely floating, and Holt is wondering how a relatively high level of Thai inflation may affect the baht–pound exchange rate and, consequently, Blades' revenue generated in Thailand.

Ben Holt is also concerned about Blades' cost of goods sold incurred in Thailand. Since no fixed-price arrangement exists and the components are invoiced in Thai baht, Blades has been subject to increases in the prices of rubber and plastic. Holt is wondering how a potentially high level of inflation will impact the baht–pound exchange rate and the cost of goods sold incurred in Thailand now that the baht is freely floating.

When Holt started thinking about future economic conditions in Thailand and the resulting impact on Blades, he found that he needed your help. In particular, Holt is vaguely familiar with the concept of purchasing power parity (PPP) and is wondering about this theory's implications, if any, for Blades. Furthermore, Holt also remembers that relatively high interest rates in Thailand will attract capital flows and put upward pressure on the baht.

Because of these concerns, and to gain some insight into the impact of inflation on Blades, Ben Holt has asked you to provide him with answers to the following questions:

1 What is the relationship between the exchange rates and relative inflation levels of the two countries? How will this relationship affect Blades' Thai revenue and costs given that the baht is freely floating? What is the net effect of this relationship on Blades?

2 What are some of the factors that prevent PPP from occurring in the short run? Would you expect PPP to hold better if countries negotiate trade arrangements under which they commit themselves to the purchase or sale of a fixed number of goods over a specified time period? Why or why not?

3 How do you reconcile the high level of interest rates in Thailand with the expected change of the baht–pound exchange rate according to PPP?
4 Given Blades' future plans in Thailand, should the company be concerned with PPP? Why or why not?
5 PPP may hold better for some countries than for others. Given that the Thai baht has been freely floating for only a short period of time, how do you think Blades can gain insight into whether PPP will hold for Thailand?

SMALL BUSINESS DILEMMA

Assessment of the IFE by the Sports Exports Company

Every month, the Sports Exports Company receives a payment denominated in British pounds for the basketballs it exports to the United Kingdom. Jim Logan, owner of the Sports Exports Company, decides each month whether to hedge the payment with a forward contract for the following month. Now, however, he is questioning whether this process is worth the trouble. He suggests that if the international Fisher effect (IFE) holds, the pound's value should change (on average) by an amount that reflects the differential between the interest rates of the two countries of concern. Since the forward premium reflects that same interest rate differential, the results from hedging should equal the results from not hedging on average.

1 Is Jim's interpretation of the IFE theory correct?
2 If you were in Jim's position, would you spend time trying to decide whether to hedge the receivables each month, or do you believe that the results would be the same (on average) whether you hedged or not?